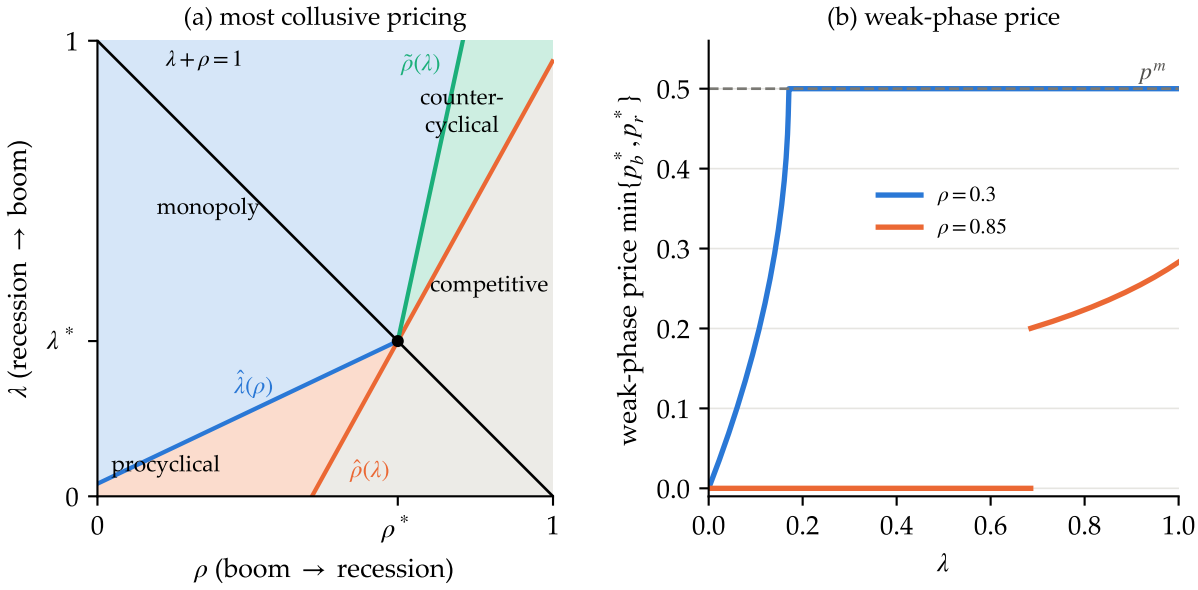
(a) most collusive pricing
1
$\lambda + \rho = 1$
$\tilde{\rho}(\lambda)$
counter-
cyclical
monopoly
competitive
λ^*
λ (recession → boom)
$\hat{\lambda}(\rho)$
procyclical
$\hat{\rho}(\lambda)$
0
0
ρ^*
1
ρ (boom → recession)
(b) weak-phase price
p^m
0.5
0.4
0.3
0.2
0.1
0.0
weak-phase price $\min\{p_b^*, p_r^*\}$
$\rho = 0.3$
$\rho = 0.85$
0.0
0.2
0.4
0.6
0.8
1.0
λ